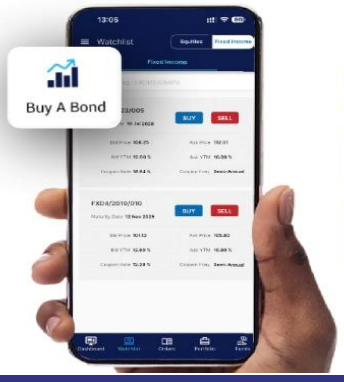
AXYS
INVESTMENT BANK

PRIMARY BOND AUCTION NOTE

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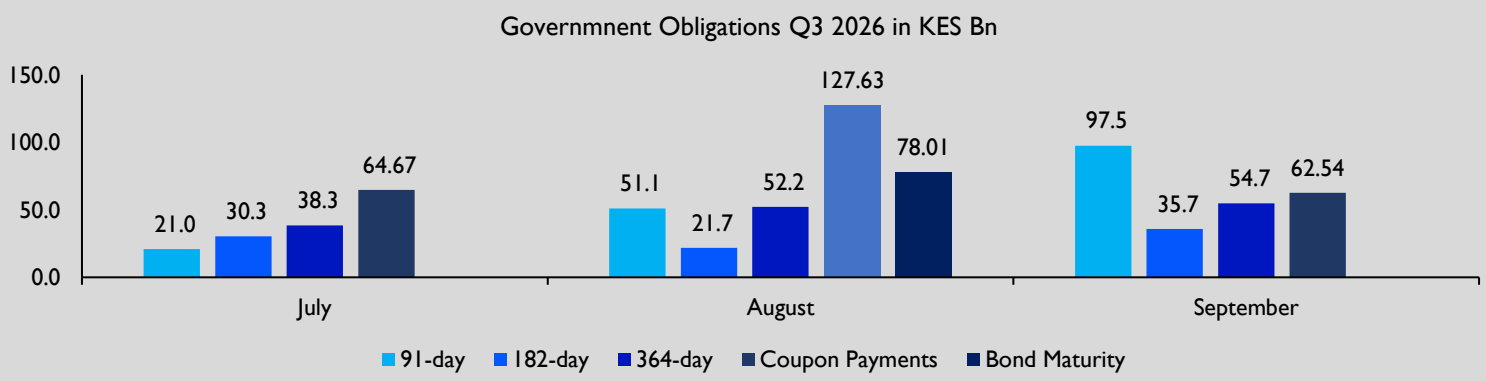
AXYS July 2026 Primary Bond Auction Note II

Summary

- **The Exchequer is seeking to raise KES 40.00Bn through the re-opening of the FXD1/2019/20 and FXD1/2022/025** treasury bonds earmarked for budgetary support in FY26/27.
- Authorities returns to the market with a second bond auction in July. Liquidity levels were evident at the previous auction, where the fiscal agent accepted fewer than half of the total bids submitted, signaling a clear intent to stick to the borrowing target rather than absorb excess demand at unfavourable rates. This selective acceptance also suggests authorities are keen to keep yields anchored lower, consistent with the government's broader strategy of leaning on the domestic market to plug the fiscal deficit. Investors, on the other hand, continue to grapple with elevated inflation, which is likely to keep bidding aggressive as they seek to protect real returns.
- We expect demand in this auction to be skewed towards the FXD1/2021/020, given its comparatively higher coupon of 14.1880%. With this auction targeting a smaller amount than the previous one, the government is well positioned to reject aggressive bids and maintain its preference for lower yields.
- **Our recommended competitive bidding yield is indicated in Table 1 on the right.**

Table 1: Key Auction Highlights

FXD1/2019/020 & FXD1/2022/025	
Issuer:	Republic of Kenya
Total Amount:	KES 40.0 billion
Purpose:	Budgetary Support
Tenor:	**FXD1/2019/020** - (12.8 Yrs)– Re-opened **FXD1/2022/025** - (21.4 Yrs)– Re-opened
Coupon Rate:	**FXD1/2019/020** – 12.8730% **FXD1/2022/025** – 14.1880%
Price Quote:	Discounted/Premium/Par
Period of sale:	14th July 2026 to 22nd July 2026
Minimum Amount:	KES 50,000.00
Taxation:	10.00%
Maturity Dates:	**FXD1/2019/020** – 21st -Mar - 2036 **FXD1/2022/025** – 23rd -Sep -2047
Non-competitive bids per CSD A/C:	Maximum KES 50 million per CDS A/c
Competitive bid per CSD A/C:	Minimum KES 2 million per CDS A/c
AXYS Competitive Bidding Range Recommendation:	**FXD1/2019/020 – 13.84%-14.04%** **FXD1/2022/025 – 14.34%-14.54%**



Source: CBK, AXYS Investment Bank Research

Yield Curve

Yields have continued their upward climb across the curve, driven largely by expectations of rising inflation and lingering uncertainty around the direction of the monetary policy rate. This has pushed investors to demand higher compensation to safeguard their real returns. The pattern we flagged earlier in the spot market remains firmly in place, with strong appetite persisting for the 91-day paper. This behaviour points to a market that is bracing for higher yields near term, with investors favouring shorter-dated instruments to preserve the flexibility to reinvest into longer tenors should returns improve further out.

That said, while not our central expectation, we see scope for this upward yield trend to ease somewhat over the coming months, supported by the emergence of a workable Middle East framework that has helped calm inflation fears as energy prices soften following the reopening of the Strait of Hormuz. Even so, we remain mindful that the ceasefire underpinning this improvement is far from secure.

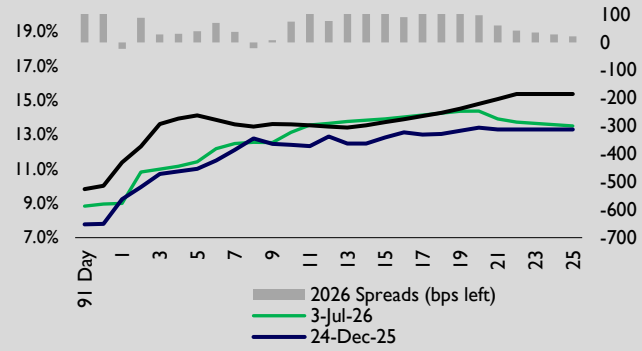
Market Liquidity

The Kenya Shilling Overnight Interbank Average (KESONIA) remained relatively stable at 8.75%, largely unchanged from May's level. Additionally, interbank volumes decreased by approximately 17.7% m/m.

Price Levels

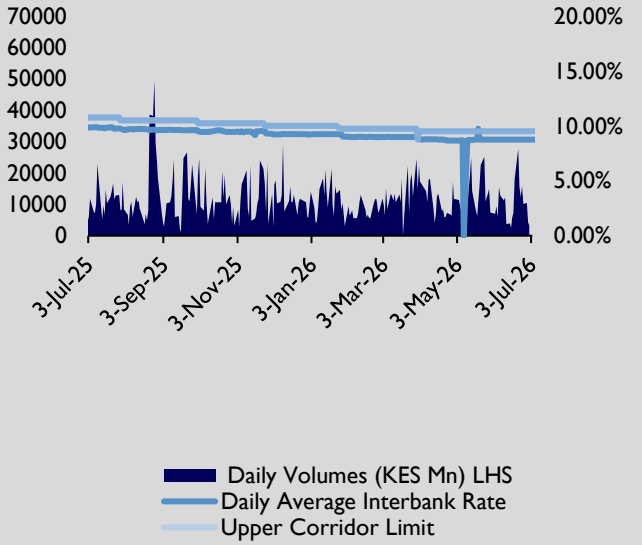
Headline inflation eased to 6.4% in June 2026 from 6.7% in May, broadly in line with our projected range. Food inflation remained the largest contributor to headline inflation, with the Food and Non-Alcoholic Beverages index rising 8.6% y/y, while Transport inflation remained elevated at 16.1% despite lower pump prices during the month. Underlying inflation showed early signs of easing. Core inflation moderated slightly to 3.1% from 3.2% in May, while non-core inflation declined to 15.1% from 16.0%, suggesting that supply-side pressures, particularly from food and energy, began to ease even as inflation remained above historical levels. Looking ahead, we expect inflation to gradually ease in the near term on the back of improving global oil supply following the reopening of the Strait of Hormuz. We expect lower oil prices in this month's fuel cycle by EPRA, which will, in turn, support the easing of non-core inflation.

Chart 2: Domestic Yield Curve Evolution



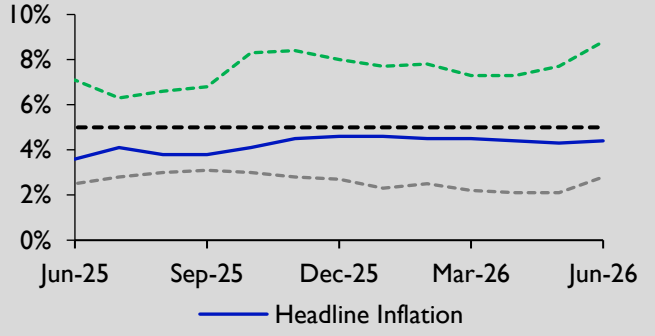
Source: CBK, AXYS Investment Bank Research

Chart 3: Interbank Rate and Volumes



Source: CBK, AXYS Investment Bank Research

Chart 4: Price Levels



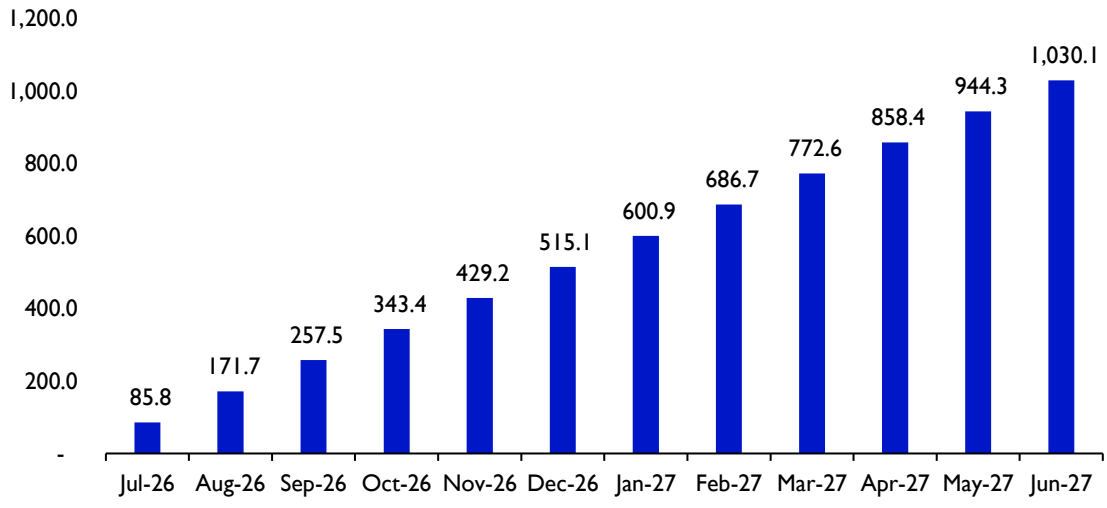
Kenya National Bureau of Statistics, AXYS Investment Bank Research

Table 2: Comparable Bond Duration Yields

Issue No.	Maturity Date	Remaining Tenor in Years	Outstanding Amount KES Mn.	Fixed Coupon Rate	Implied Yield to Maturity
Comparable Yields for the FXD1/2019/020 - (12.7 Years)					
FXD1/2018/020	5-July-2038	12.0	89,198.60	13.2000%	13.7066%
FXD1/2019/020	**21-Mar-2039**	**12.7**	**163,424.14**	**12.8730%**	**13.7532%**
SDB1/2011/030	21-January-2041	14.6	57,449.31	12.0000%	13.8750%
Comparable Yields for the FXD1/2021/020 - (15.1 Years)					
FXD1/2022/025	9-April-2046	19.8	203,925.78	13.9240%	13.9557%
FXD1/2022/025	**23-Sep-2047**	**21.3**	**216,157.30**	14.1880%	**14.650%**
FXD1/2026/030	**13-Mar-2056**	29.8	23,490.30	**12.5000%**	**13.1750%**

Source: CBK, AXYS Investment Bank Research

FY26/27 Prorated Net Domestic Borrowing Target (KES Bn)



Source: CBK, AXYS Investment Bank Research

CBK Previous Primary Bond Auctions

	Offered Amount (KES, Mn)	Paper(s)	Duration at Issuance (yrs)	Performance Rate	Coupon Rate (%)	Market Average Yield (%)	Accepted Average Yield (%)
Aug-25	90,000	IFB1/2028/015 Re-opened	7.5		12.500%	13.530%	12.993%
		IFBI/2022/019 Re-opened	15.6	**359.4%**	12.965%	14.237%	13.999%
		IFB1/2028/015 Tapsale	7.5		12.000%	13.530%	
		IFBI/2022/019 Tapsale	15.6	**414.9%**	12.965%	14.237%	
Sep-25	40,000	FXD1/2018/020 Re-opened	12.5		13.200%	13.724%	13.080%
		FXD1/2022/025 Re-opened	22.2	**243.2%**	14.188%	14.246%	12.782%
Oct-25	50,000	FXD1/2018/015 Re-opened	7.7		12.750%	12.652%	12.385%
		FXD1/2021/020 Re-opened	15.9	**237.8%**	13.444%	13.529%	13.310%
Nov-25	40,000	FXD1/2012/020 Re-opened	7.0		12.000%	12.638%	12.471%
		FXD1/2022/015 Re-opened	11.4	**232.3%**	13.994%	13.467%	13.339%
	40,000	FXD3/2018/015 Re-opened	8.7		12.340%	12.746%	12.574%
		FXD1/2022/025 Re-opened	21.9	**289.7%**	14.188%	13.848%	13.746%
Dec-25	40,000	SDB1/2011/030 Re-opened	15.2		12.000%	13.439%	13.325%
		FXD1/2021/025 Re-opened	20.4	**132.8%**	13.924%	13.643%	13.620%
Jan-26	60,000	FXD1/2019/20 -Reopened	13.2		12.873%	13.329%	13.262%
		FXD1/2022/025 Re-opened	21.8	**119.2%**	14.188%	13.791%	13.756%
Feb-26	50,000	FXD3/2019/015 Re-opened	8.4		12.340%	12.388%	12.184%
		FXD1/2018/025 Re-opened	17.3	**427.5%**	13.400%	13.450%	13.362%
Mar-26	60,000	FXD1/2019/20 -Reopened	13.1		12.873%	12.786%	12.748%
		FXD1/2021/025 Re-opened	20.1	**195.7%**	13.924%	13.361%	12.949%
Apr-26	40,000	FXD1/2020/015- Re-opened	8.9		12.756%	12.272%	12.185%
		FXD1/2018/025 Re-opened	17.3	**187.2%**	13.400%	13.179%	12.987%
Apr-26	20,000	SDB1/2011/030 Re-opened	14.9		12.000%	13.110%	12.996%
		FXD1/2026/030 - New Issuance	30.0	**191.7%**	12.500%	13.867%	13.755%
May-26	80,000	FXD1/2012/020 Re-opened	6.6		12.000%	12.466%	12.457%
		FXD1/2019/020 Re-opened	13.0		12.873%	13.314%	13.213%
		FXD1/2021/025 Re-opened	20.1	**132.5%**	13.924%	13.766%	13.695%
Jun-26	40,000	FXD1/2020/015 Re-opened	8.7		12.756%	13.313%	13.312%
		FXD1/2018/025 Re-opened	17.1	**86.0%**	13.400%	14.233%	14.230%
Jun-26	15,000	FXD1/2020/015 Tap Sale	8.7		12.756%	13.313%	
		FXD1/2018/025 Tap Sale	17.1	**58.4%**	13.400%	14.233%	
Jun-26	60,000	FXD1/2018/020 Re-opened	11.8		13.200%	14.116%	13.989%
		FXD1/2021/025 Re-opened	20.0	**129.4%**	13.924%	15.111%	14.864%
Jun-26	20,000	FXD1/2018/020 Tapsale	11.8		13.200%	14.116%	
		FXD1/2021/025 Tapsale	20.0	**155.1%**	13.924%	15.111%	
Jul-26	70,000	FXD1/2022/010 Re-opened	5.8		13.490%	12.950%	12.782%
		FXD1/2021/020 Re-opened	15.2		13.444%	14.522%	14.340%
		FXD1/2026/030 - Re-opened	29.9	**206.4%**	12.500%	14.950%	14.617%
Average*	**52,000**		**15.0**	**211.4%**	**13.102%**	**13.499%**	**13.291%**

*Source: CBK, AXYS Investment Bank Research, *- Yearly average results excludes tap sales*

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